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Investor Presentation | Japan

Semiconductor Production Equipment:
Tech Monthly Jun 2026

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SEMICONDUCTOR PRODUCTION EQUIPMENT

Japan

Industry View

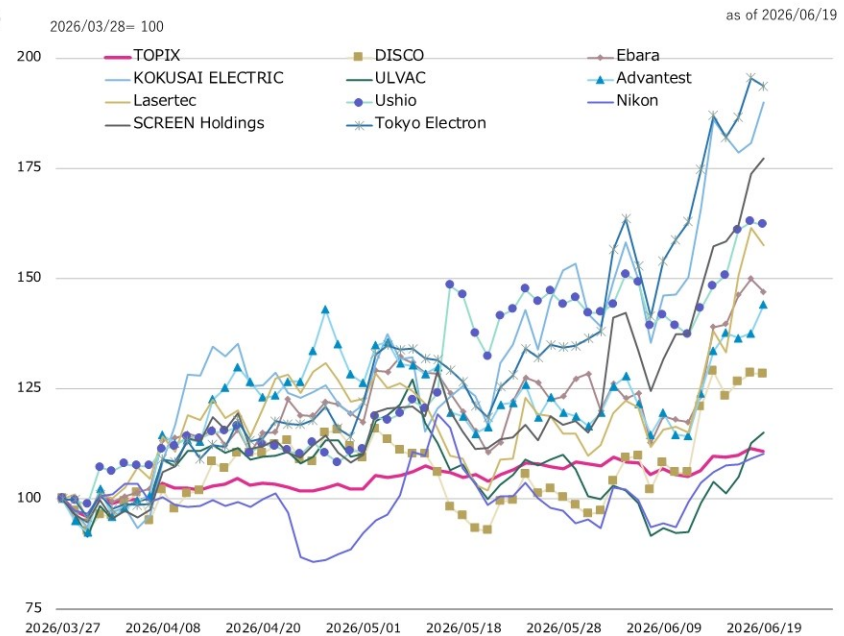
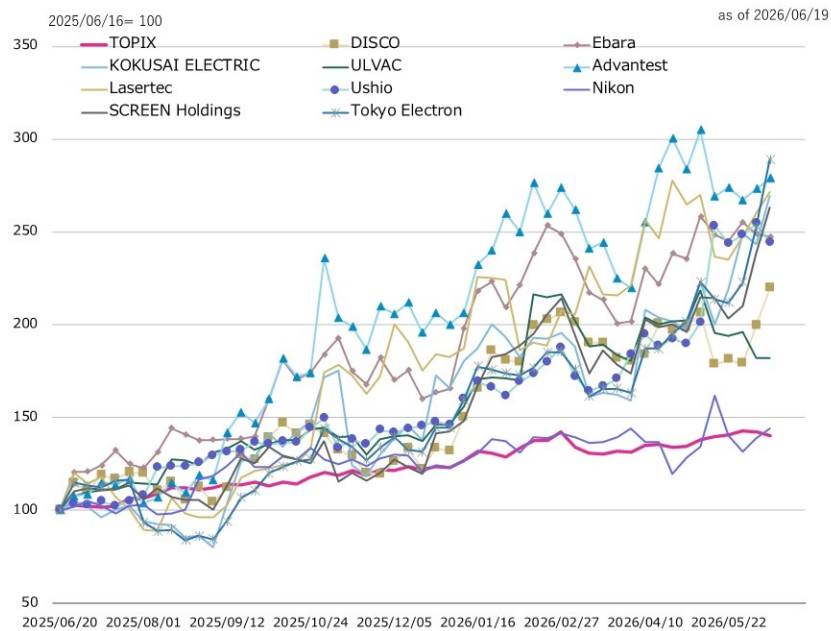
Attractive

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Stock Price Performance



Source: FactSet data, Morgan Stanley Research

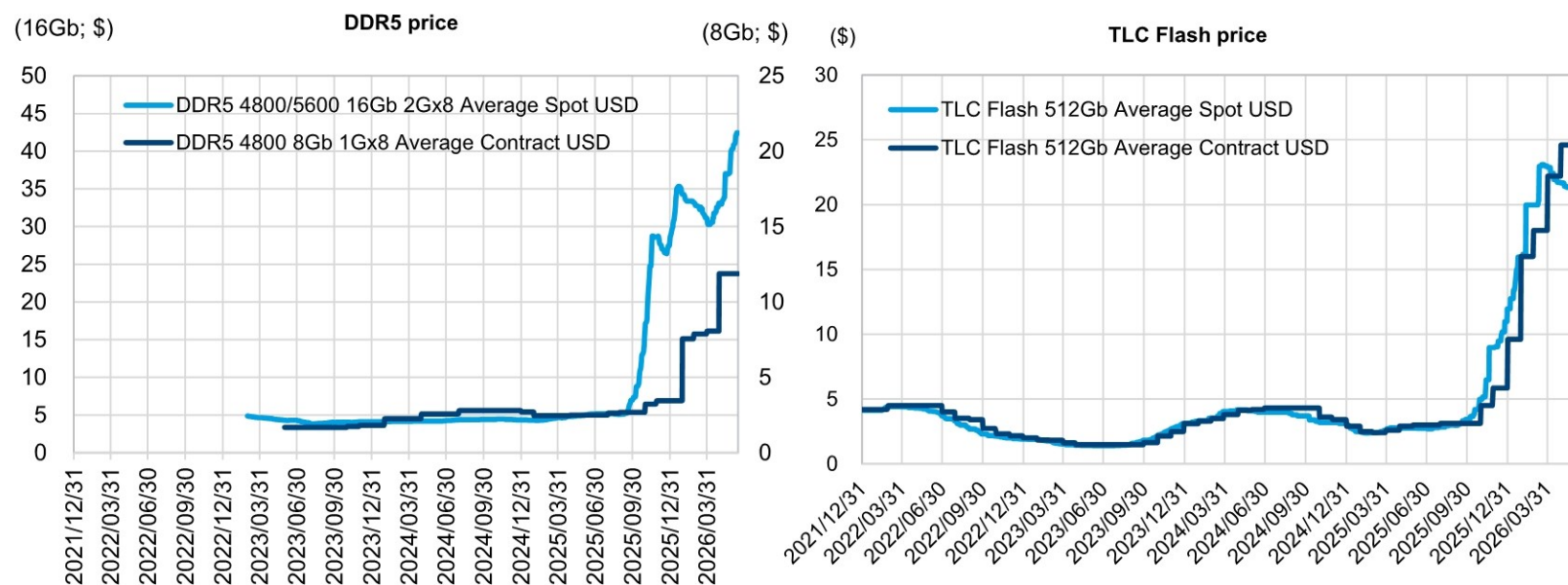
Stock performance and valuation

			Rating	Share price		Valuation															
				(LC)	(LC)	Performance					Cons PE (x)			Cons EV/EBITDA (x)			Cons PBR (x)			Cons Div. yield	
			MS	Last close	MS PT	YTD	3m	1m	11/20 ~	F1	F2	F3	F1	F2	F3	F1	F2	F3	F1	F2	F3
6146 JP	DISCO	OW	84,900	78,000	76.3%	22.0%	37.8%	79.6%	51.2	42.8	37.4	34.5	28.9	26.0	13.2	11.0	9.5	0.8%	1.0%	1.2%	
7729 JP	Tokyo Seimitsu	OW	20,075	22,000	80.8%	40.6%	26.1%	85.3%	28.1	23.9	20.8	16.8	14.4	12.5	3.9	3.5	3.2	1.4%	1.7%	1.9%	
6315 JP	Towa	EW	3,325	3,200	54.7%	31.2%	26.5%	32.0%	29.7	23.6	20.6	16.6	13.2	12.2	3.2	2.9	2.6	0.7%	0.8%	0.8%	
6857 JP	Advantest	OW	31,740	36,000	61.7%	32.4%	25.5%	52.3%	45.6	36.3	31.8	31.4	25.2	23.0	20.1	14.2	10.9	0.3%	0.4%	0.5%	
TER US	Teradyne	EW	438	387	126.2%	45.9%	36.4%	180.9%	59.4	44.0	32.2	44.6	34.1	26.3	19.4	15.3	11.5	0.1%	0.1%	0.1%	
8035 JP	Tokyo Electron	OW	75,360	65,000	119.6%	91.6%	59.8%	131.9%	48.0	37.8	31.7	33.4	26.6	23.3	14.0	11.8	10.0	1.0%	1.3%	1.6%	
7735 JP	SCREEN Holdings	OW	16,745	17,000	119.8%	68.3%	59.2%	158.4%	27.5	23.0	20.2	17.0	14.4	13.0	5.8	5.0	4.2	1.1%	1.3%	1.5%	
6525 JP	Kokusai Electric	OW	10,165	8,300	85.0%	88.1%	54.0%	140.8%	49.3	37.2	31.8	29.3	23.4	19.8	9.5	8.2	7.0	0.5%	0.7%	0.9%	
6361 JP	Ebara	OW	6,560	5,800	78.1%	38.0%	27.3%	69.9%	29.2	26.0	21.8	17.8	15.0	13.0	5.2	4.6	4.1	1.1%	1.3%	1.6%	
6920 JP	Lasertec	UW	55,100	15,600	85.9%	57.0%	52.8%	97.1%	64.8	51.7	40.8	44.1	35.1	28.3	20.1	16.2	12.8	0.6%	0.7%	0.9%	
6951 JP	JEOL	EW	7,066	5,200	40.4%	18.9%	7.4%	52.2%	16.5	13.9	12.5	10.8	8.9	8.2	NA	NA	NA	1.9%	2.4%	2.3%	
6925 JP	Ushio	OW	4,631	3,100	84.9%	61.9%	17.9%	99.3%	36.2	26.4	23.6	16.4	13.5	NA	1.9	1.9	NA	1.5%	1.7%	2.2%	
6728 JP	ULVAC	EW	10,255	8,100	44.8%	11.8%	11.1%	53.5%	27.9	21.3	18.4	13.5	9.9	8.7	2.2	2.0	1.9	1.5%	1.7%	2.0%	
7731 JP	Nikon	UW	2,153	1,100	23.5%	11.3%	6.6%	24.0%	65.2	33.2	25.3	14.3	11.4	10.2	1.2	1.2	1.2	1.2%	1.5%	1.4%	
AMAT US	Applied Materials	EW	617	502	140.1%	76.6%	49.2%	180.2%	50.4	37.5	30.6	43.2	31.8	25.9	18.5	14.9	11.9	0.3%	0.3%	0.4%	
LRX US	Lam Research	OW	389	331	127.3%	73.1%	40.0%	178.7%	68.4	48.3	39.6	56.7	40.0	33.4	42.5	28.7	20.1	0.3%	0.3%	0.3%	
KLAC US	KLA	OW	260	190	113.6%	75.1%	47.8%	135.4%	70.0	50.8	42.7	55.9	42.0	35.5	58.4	46.4	35.7	0.3%	0.4%	0.4%	
NVDA US	NVIDIA Corp	OW	211	288	13.0%	16.8%	-5.2%	16.6%	23.6	16.8	14.3	19.2	13.5	11.2	17.0	10.1	6.8	0.3%	0.4%	0.4%	
285A JP	Kioxia Holdings	OW	108,600	110,000	940.7%	385.7%	118.2%	858.1%	11.5	8.9	7.5	7.9	6.1	5.5	9.4	5.1	3.3	0.3%	0.4%	0.5%	
429A JP	Tekscend	EW	4,305	4,600	42.1%	41.8%	4.2%	37.5%	16.2	14.5	12.4	7.1	6.0	5.1	2.2	2.0	1.8	1.8%	1.8%	2.2%	
PLAB US	Photronics	NA	34	NA	5.1%	-5.0%	-29.2%	65.8%	18.2	16.6	NA	NA	NA	NA	NA	NA	NA	NA	NA	NA	

Note: Data as of June 1May 19; Closing prices and price targets in Japanese yen except for Teradyne, Applied Materials, Lam Research, KLA, and Photronics, which are in US dollars. Tokyo Seimitsu and Towa are covered by Yoshihito Hasegawa. Kioxia Holdings is covered by Kazuo Yoshikawa. Teradyne, Applied Materials, Lam Research, and KLA are covered by Shane Brett. NVIDIA is covered by Joseph Moore; NA = No data found on FactSet/Morgan Stanley Research. Photronics is not covered.

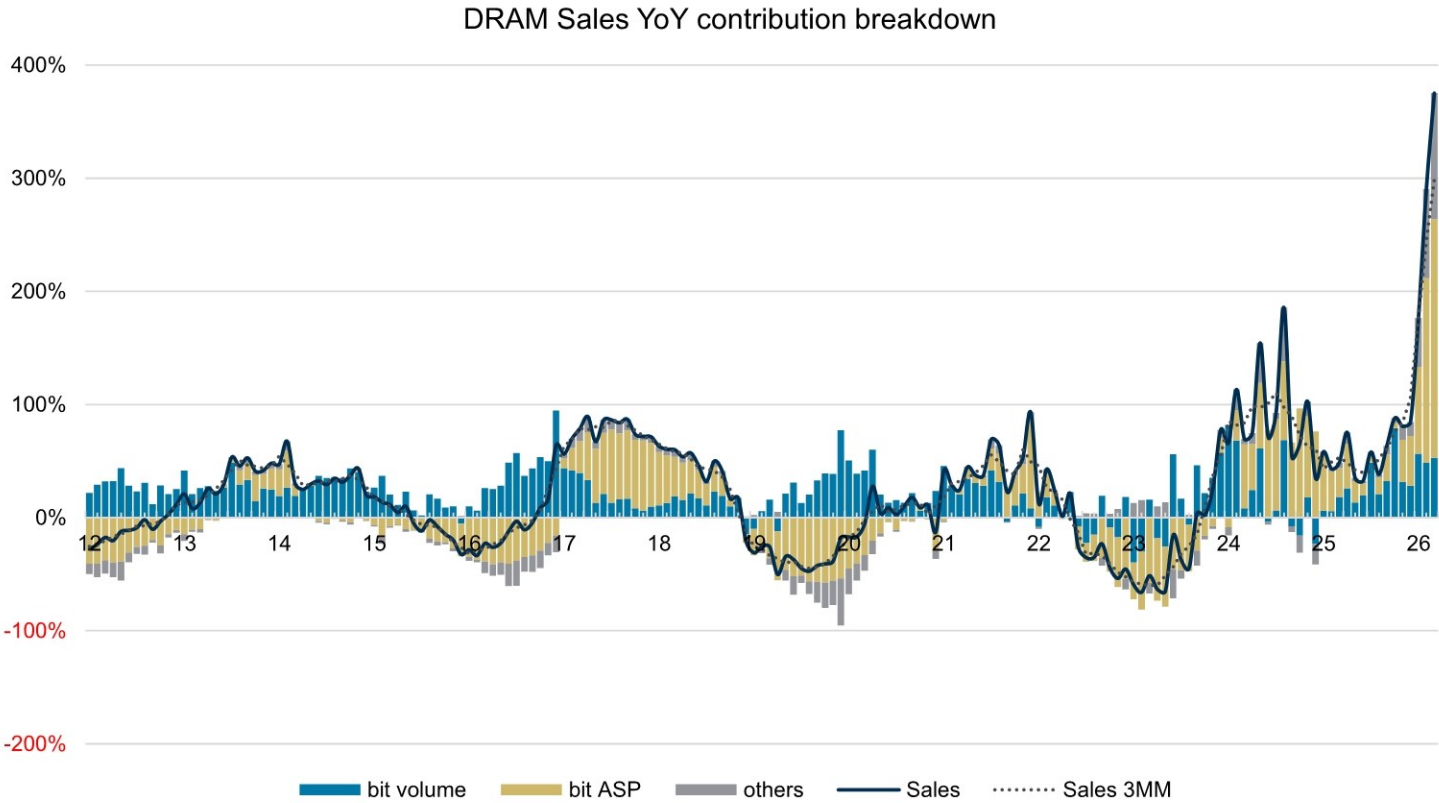
Source: FactSet, Morgan Stanley Research; Cons = based on FactSet Consensus

Memory price trends



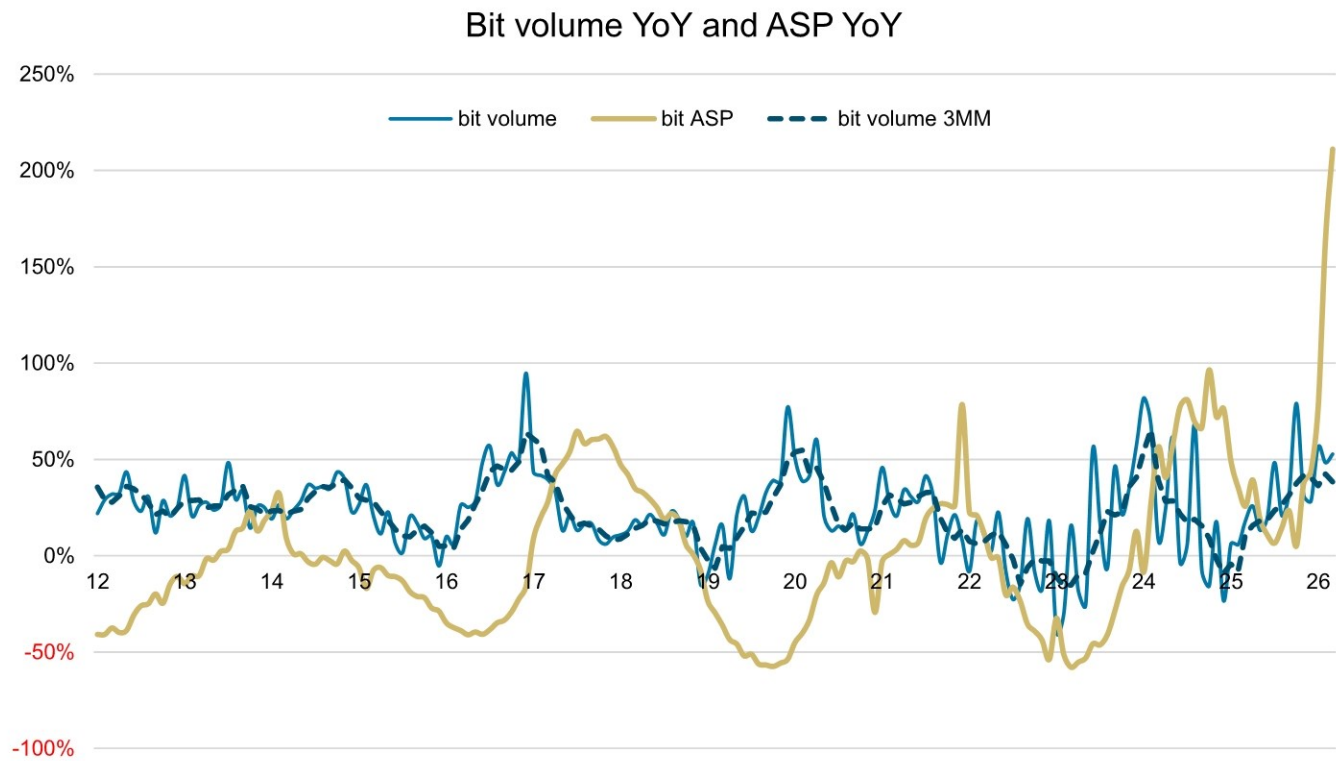
Source: FactSet, Morgan Stanley Research

DRAM YoY growth



Source: WSTS, Morgan Stanley Research

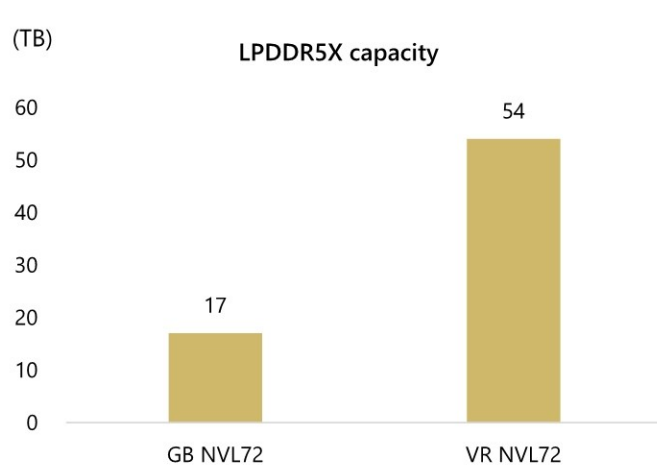
DRAM bit shipment and ASP YoY growth



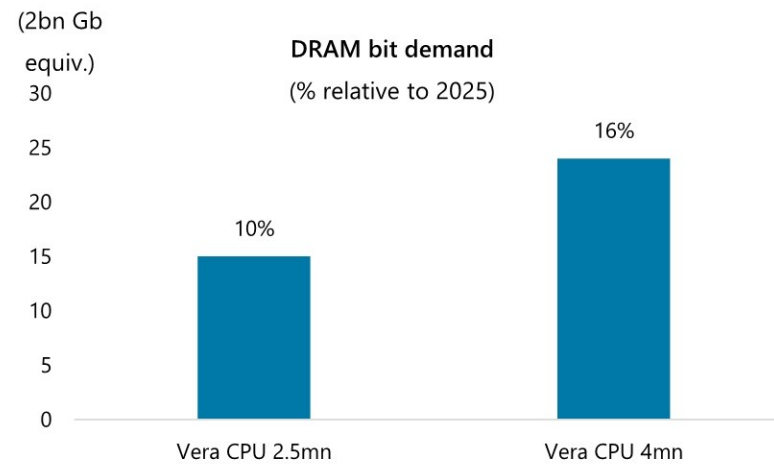
Source: WSTS, Morgan Stanley Research

Agentic AI: Sizable memory demand

Vera CPU could boost total DRAM bit demand by ~16% vs 2025

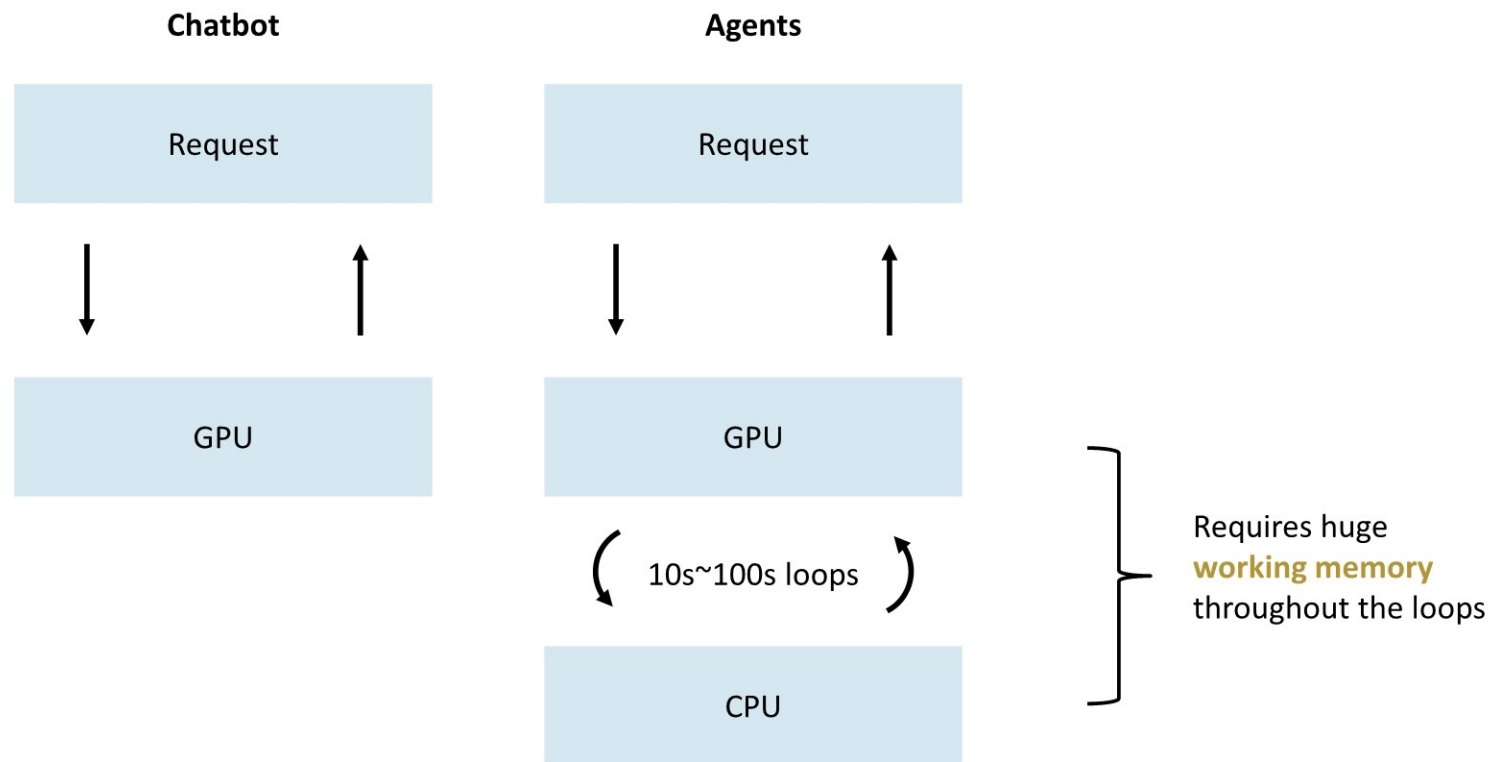


Source: Nvidia, Morgan Stanley Research



Source: TrendForce, Morgan Stanley Research estimates

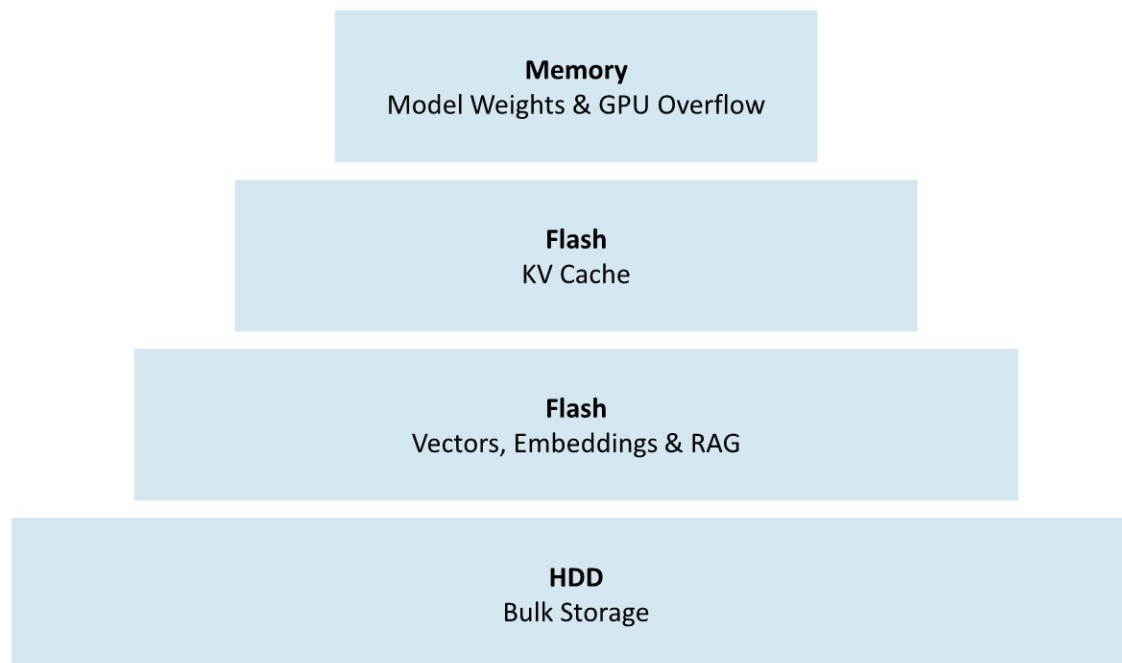
Huge amount of DRAM needed in Agentic era



Source: Morgan Stanley Research

NAND also seeing exponential demand

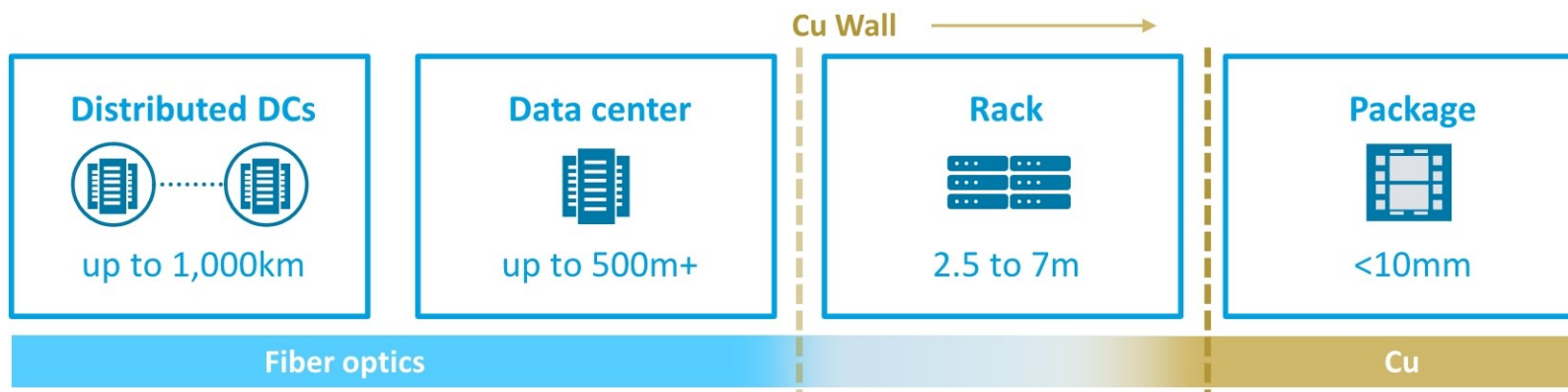
AI storage architecture



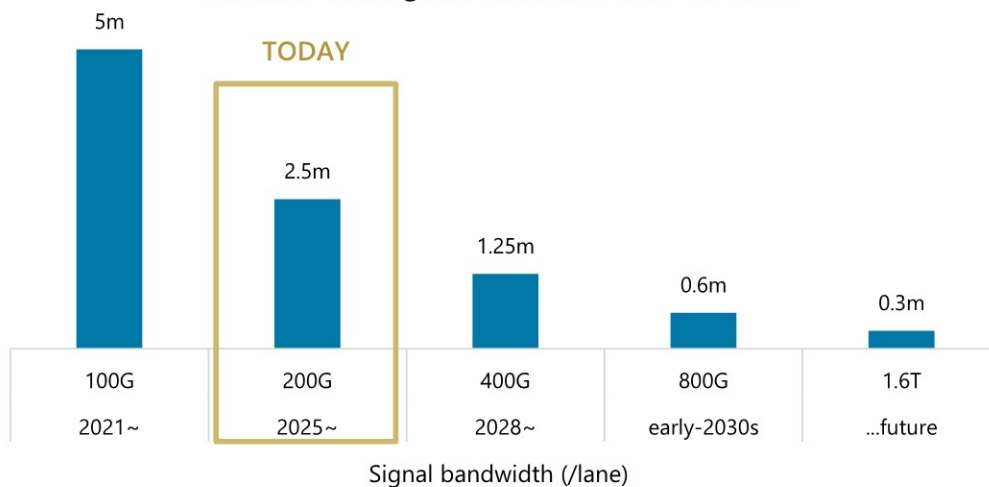
Agentic AI leads to longer context, compounding data retainment requirements, etc.

Source: Western Digital, Morgan Stanley Research

Connectivity to be the next bottle neck



Distance that signals can travel over Cu cable



Source: Marvell Technology, Morgan Stanley Research

Our earnings forecasts

Semiconductor Production Equipment: Jan-Mar Results Overview (26 May 2026)

New Forecasts	Actual	MSe		MSe		MSe	
	26/3	27/3	YoY	28/3	YoY	29/3	YoY
Sales (¥bn)							
Tokyo Electron	2,443.5	3,396.0	39%	4,087.0	20%	4,546.0	11%
SCREEN Holdings	605.7	739.7	22%	861.2	16%	973.2	13%
KOKUSAI ELECTRIC	235.1	321.2	37%	377.8	18%	399.9	6%
Advantest	1,128.6	1,563.5	39%	2,182.9	40%	2,641.8	21%
Disco	436.9	579.8	33%	679.0	17%	780.0	15%
Operating Income (¥bn)							
			OPM		OPM		OPM
Tokyo Electron	624.9	988.0	29%	1,358.0	33%	1,607.0	35%
SCREEN Holdings	122.5	164.9	22%	199.8	23%	236.4	24%
KOKUSAI ELECTRIC	41.8	73.6	23%	94.0	25%	98.3	25%
Advantest	499.1	736.7	47%	1,097.9	50%	1,348.2	51%
Disco	185.0	263.8	45%	321.0	47%	379.8	49%
EPS (¥)							
Tokyo Electron	1,255	1,644	31%	2,256	37%	2,667	18%
SCREEN Holdings	487	636	31%	765	20%	903	18%
KOKUSAI ELECTRIC	129	233	81%	298	28%	312	5%
Advantest	515	751	46%	1,120	49%	1,375	23%
Disco	1,250	1,802	44%	2,192	22%	2,592	18%

Mse based PER (as of Jun 19)			
Close price(¥)	27/3	28/3	29/3
75,360	45.8	33.4	28.3
16,745	26.3	21.9	18.5
10,165	43.7	34.1	32.5
31,740	42.2	28.3	23.1
84,900	47.1	38.7	32.8

Source: Morgan Stanley Research; MSe= Morgan Stanley Research estimates

We upgraded Advantest to Top Pick (May 26, 2026)

Computing/Communication Tester forecasts

(JPY mn)	19/3	20/3	21/3	22/3	23/3	24/3	25/3	26/3	27/3	28/3	29/3
Computing/Communication									MSe	MSe	MSe
Computing/Communication	89,160	108,500	77,798	135,360	211,575	147,360	396,360	729,030	1,070,000	1,555,000	1,875,000
y-y	NA	22%	-28%	74%	56%	-30%	169%	84%	47%	45%	21%
V93000 EXA Scale price (¥mn) (asmp.)	191	202	191	202	241	257	275	270	279	287	296
\$mn	1.8	1.8	1.8	1.8	1.8	1.8	1.8	1.8	1.8	1.9	1.9
y-y	NA	0%	0%	0%	0%	0%	0%	0%	0%	3%	3%
Implied units (unit)	467	538	408	671	877	572	1,439	2,700	3,835	5,411	6,335
y-y	NA	15%	-24%	64%	31%	-35%	152%	88%	42%	41%	17%
TSMC							96,158				
% of sales							12.3%				

Our P&L forecasts

(JPY mn)	19/3	20/3	21/3	22/3	23/3	24/3	25/3	26/3	27/3	28/3	29/3
IFRS									MSe	MSe	MSe
Net sales	282,456	275,894	312,789	416,901	560,191	486,507	779,707	1,128,610	1,563,500	2,182,900	2,641,800
y-y	NA	-2%	13%	33%	34%	-13%	60%	45%	39%	40%	21%
q-q											
Cost of sales	128,417	119,397	144,498	180,994	241,130	240,477	334,622	402,503	555,600	769,100	925,000
Gross profit	154,039	156,497	168,291	235,907	319,061	246,030	445,085	726,107	1,007,900	1,413,800	1,716,800
y-y	NA	2%	8%	40%	35%	-23%	81%	63%	39%	40%	21%
q-q											
margin	54.5%	56.7%	53.8%	56.6%	57.0%	50.6%	57.1%	64.3%	64.5%	64.8%	65.0%
Operating profit	64,662	58,708	70,726	114,734	167,687	81,628	228,161	499,120	736,700	1,097,900	1,348,200
y-y	NA	-9%	20%	62%	46%	-51%	180%	119%	48%	49%	23%
q-q											
margin	22.9%	21.3%	22.6%	27.5%	29.9%	16.8%	29.3%	44.2%	47.1%	50.3%	51.0%
EPS (JPY)	75.59	67.53	88.47	112.39	174.35	84.45	218.67	515.15	751.47	1,119.76	1,375.16
y-y	NA	-11%	31%	27%	55%	-52%	159%	136%	46%	49%	23%

Source: Morgan Stanley Research; MSe= Morgan Stanley Research estimates

Tekscend Photomask: Earning Update (15 Jun 2026)

Raising Forecasts on Expanding Outsourcing Demand

The three major investment projects currently planned are scheduled to begin production sequentially over 2027-28

	Investment amount (@¥155/\$)	Production starting in	Type of investment	Investment details
Singapore	¥35bn	H1 2027	New fab	up to 28nm
Round Rock (US)	>=¥35bn	H2 2027	Line expansion	up to 12nm , >= 40% capacity expansion
Icheon (South Korea)	¥26bn	H2 2028	New building (3rd plant)	14nm and below
Total	¥96bn			

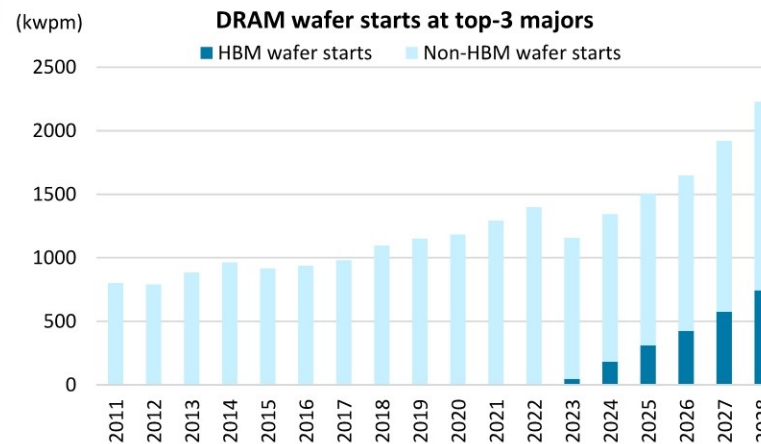
Source: Company materials, government publications and Morgan Stanley Research

Summary of our forecasts

IFRS (¥mn)	Mar-25	Mar-26	MSe Mar-27	MSe Mar-28	MSe Mar-29	Ce Mar-27
Revenue	118.0	129.6	150.0	171.5	197.8	140.1
y-y	17%	10%	16%	14%	15%	8%
Operating income	28.2	27.5	35.6	38.3	48.6	29.8
y-y	-2%	-2%	29%	8%	27%	8%
Operating margin	23.9%	21.2%	23.7%	22.3%	24.6%	21.3%
EBITDA	43.9	46.6	55.2	66.0	80.7	47.9
y-y	17%	6%	19%	20%	22%	3%
EBITDA margin	37.3%	35.9%	36.8%	38.5%	40.8%	34.2%
Net Capex	30.7	33.2	56.7	32.5	27.0	
% of sales	26%	26%	38%	19%	14%	
Basic EPS	104.2	261.1	287.9	309.1	382.6	248.1
y-y	-53%	151%	10%	7%	24%	-5%
JPY/USD	152	151	155	155	155	145

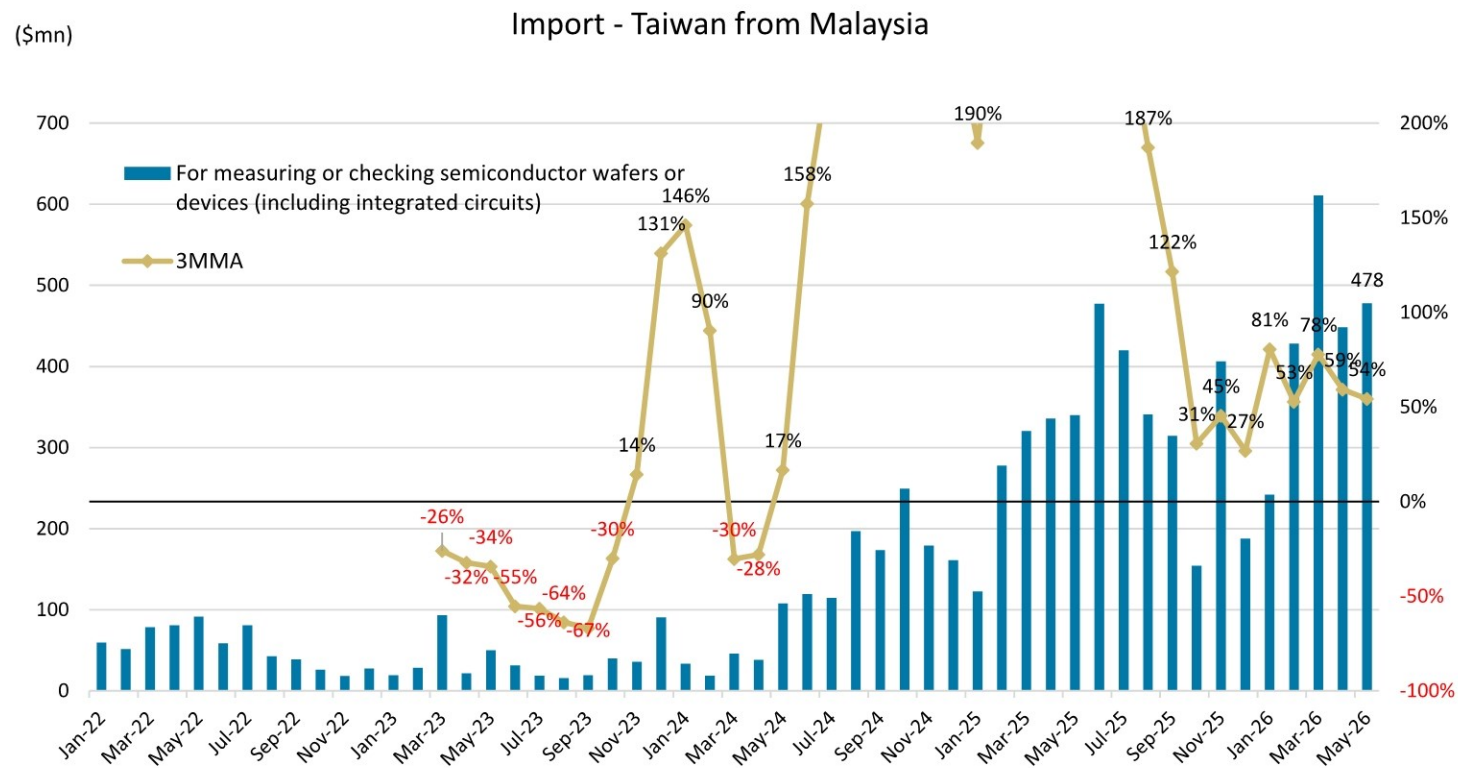
Source: Company data, Morgan Stanley Research; Ce= Company estimates;
MSe=Morgan Stanley Research estimates

Demand for HBM applications is growing rapidly, and major memory makers are expected to increasingly outsource lower-priority non-HBM mask production to merchant mask shops



Source: Morgan Stanley Research estimates

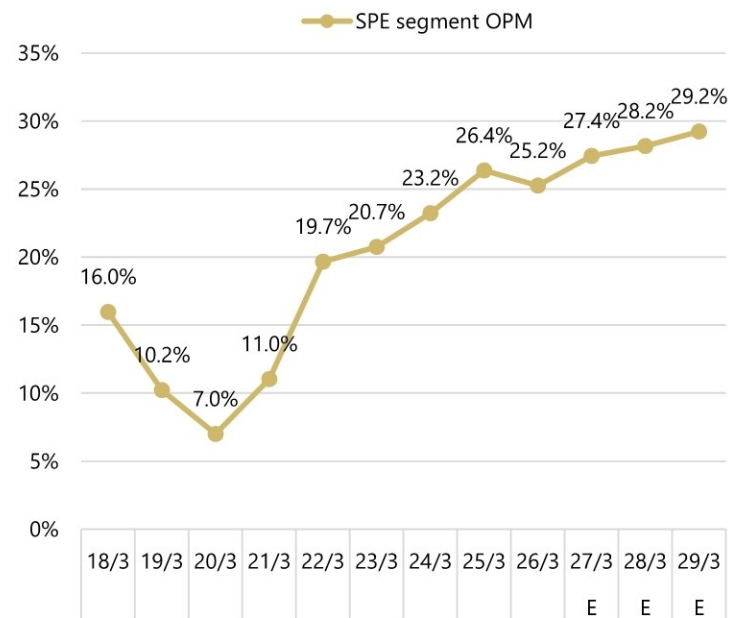
Taiwan test-related equipment imports from Malaysia



Source: Ministry of Economic Affairs, R.O.C., Morgan Stanley Research

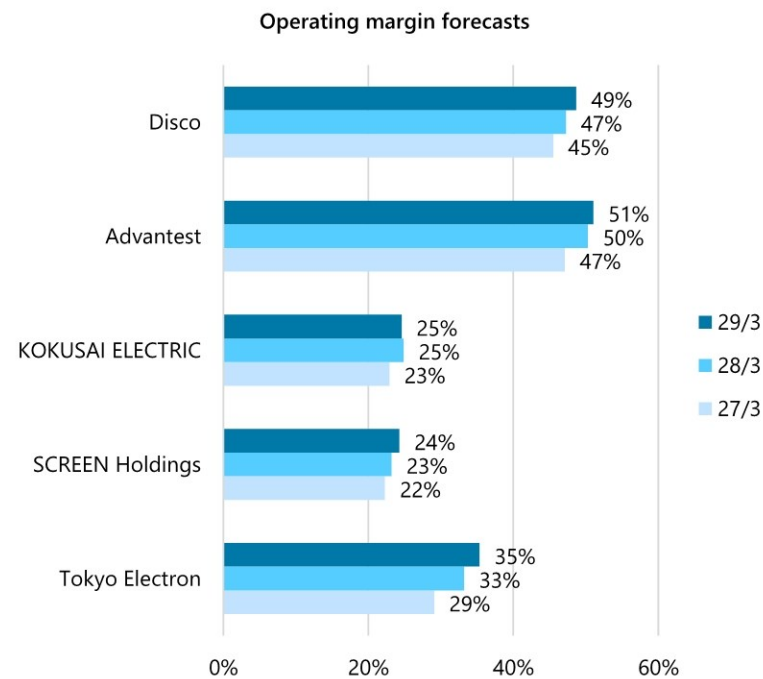
SCREEN - Highlighting as a re-rating stock

Under current president Masato Goto (took over in Feb 2019), SCREEN has continued efforts to improvement SPE segment profitability, and since F3/23 the segment has maintained an OPM over 20%, showing steady improvement



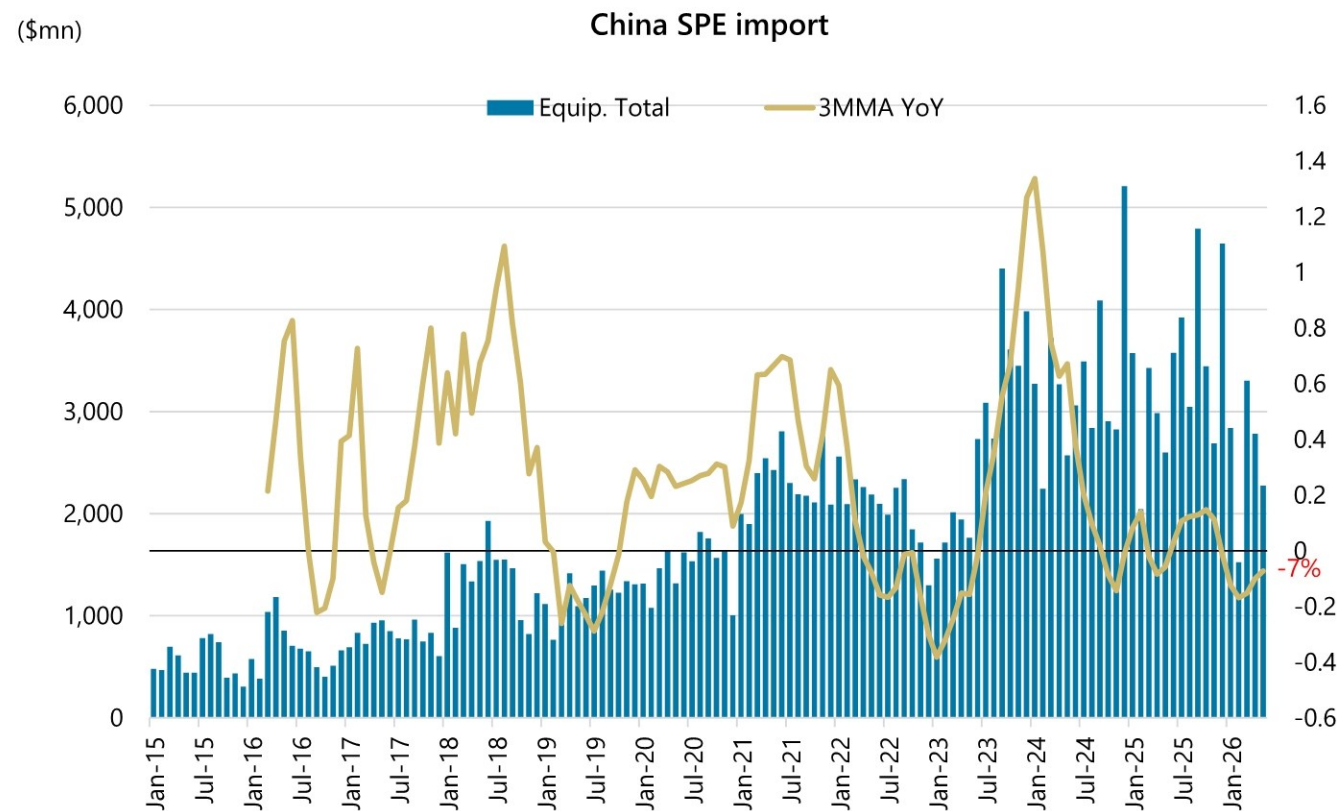
Source: Company data, Morgan Stanley Research;
E= Morgan Stanley Research estimates

SCREEN does not significantly lag front-end peers even in terms of company-wide operating margin



Source: Morgan Stanley Research; MSe= Morgan Stanley Research estimates

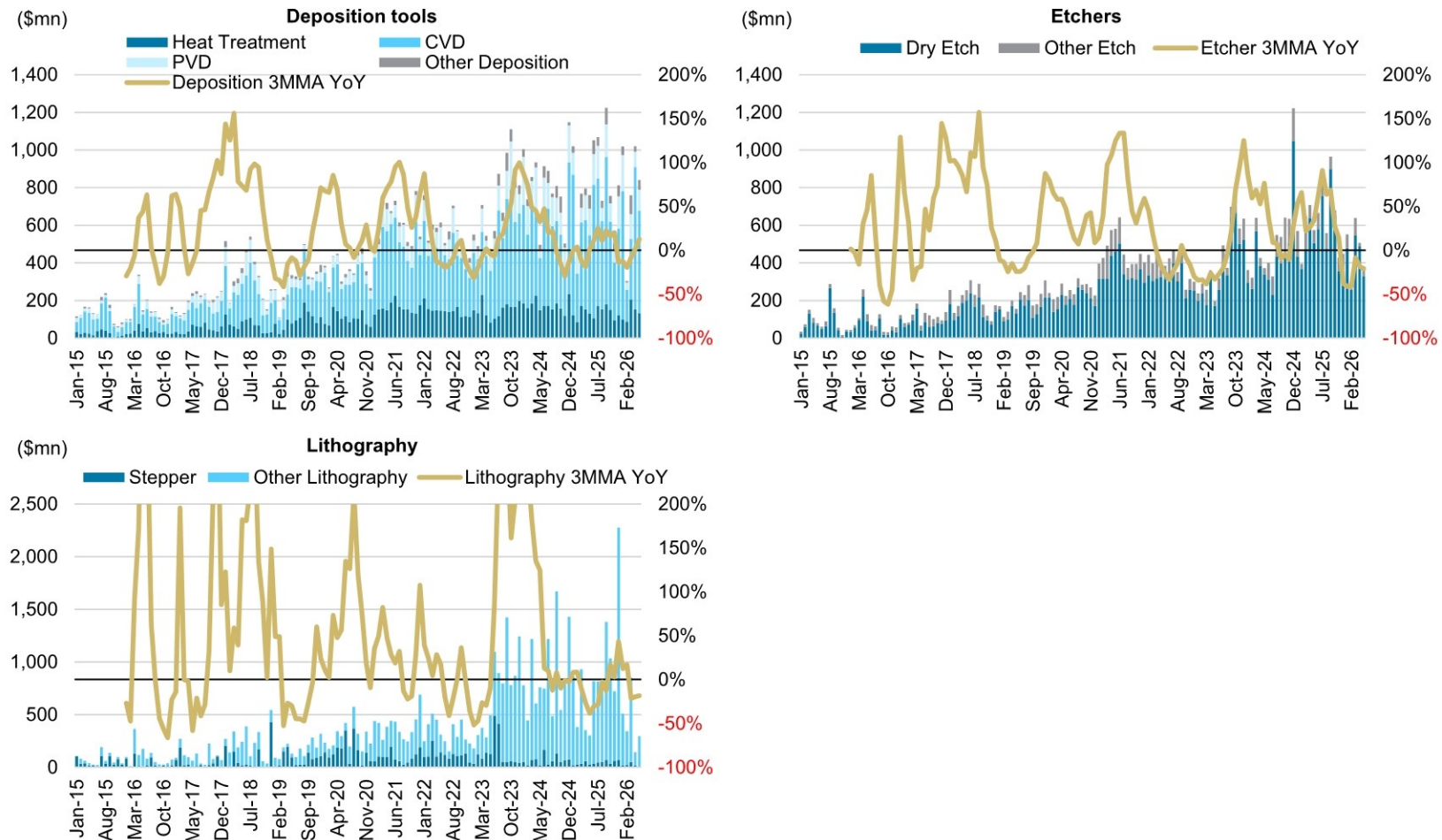
China monthly SPE import data: May -7% YoY, 3MMA



Note: Data excludes handling equipment and components

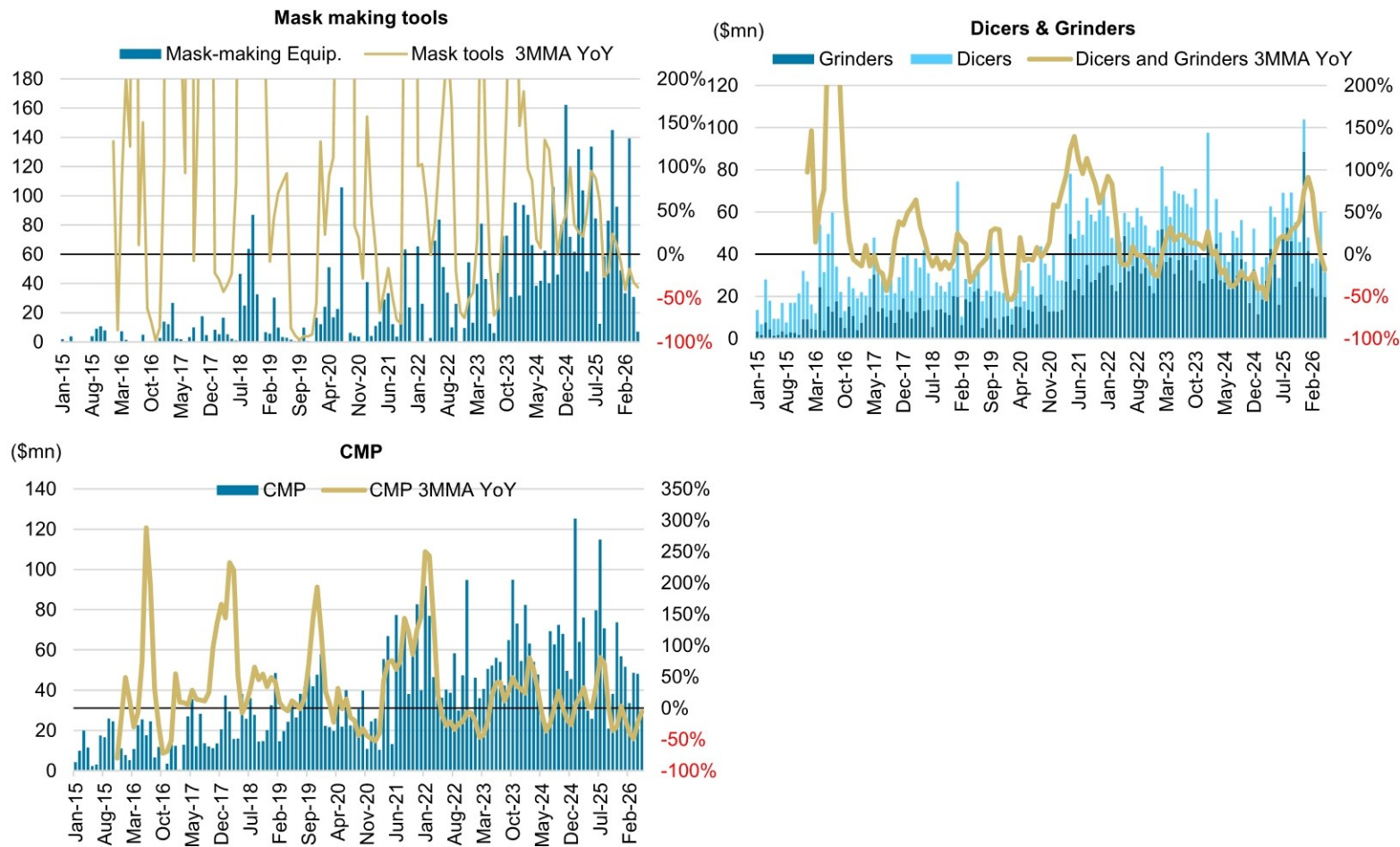
Source: General Administration of Customs of the People's Republic of China, Morgan Stanley Research

China monthly SPE import data



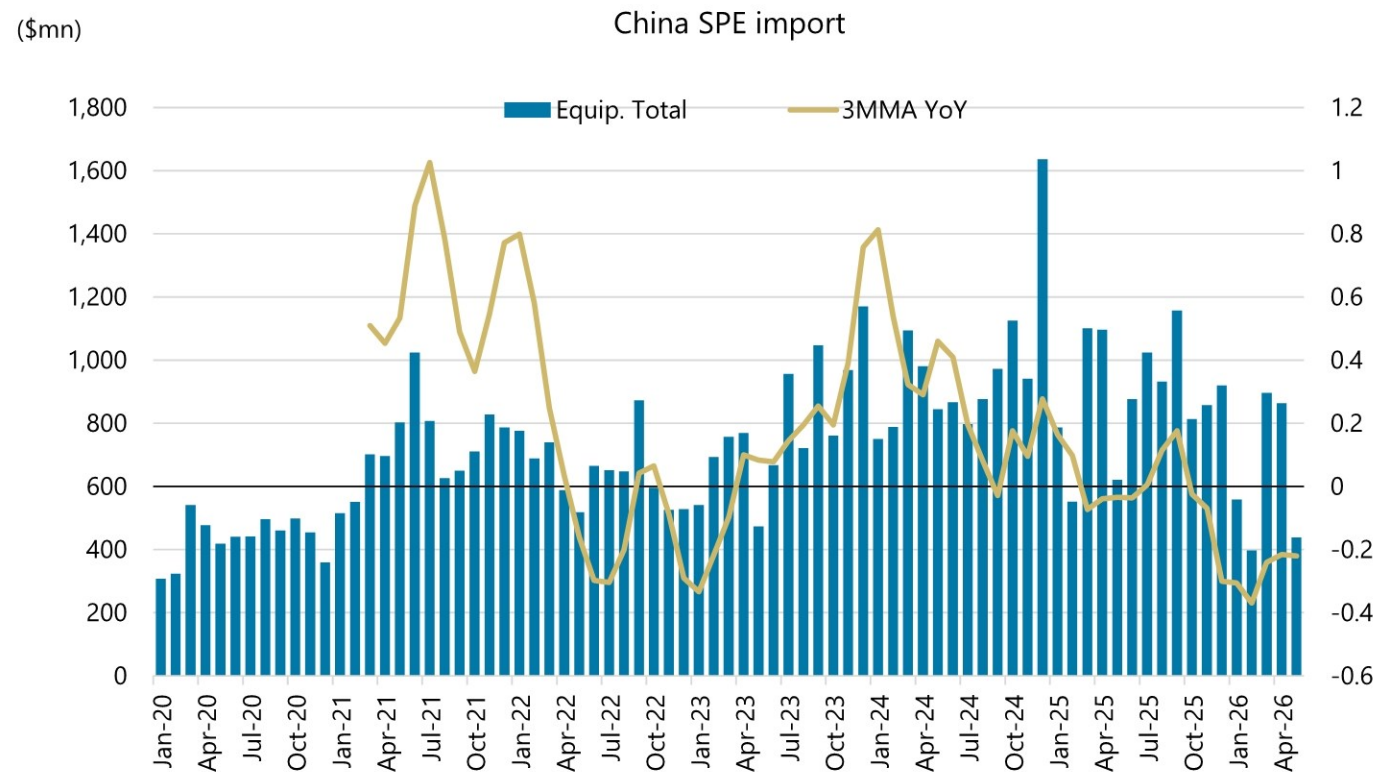
Source: General Administration of Customs of the People's Republic of China, Morgan Stanley Research

China monthly SPE import data



Source: General Administration of Customs of the People's Republic of China, Morgan Stanley Research

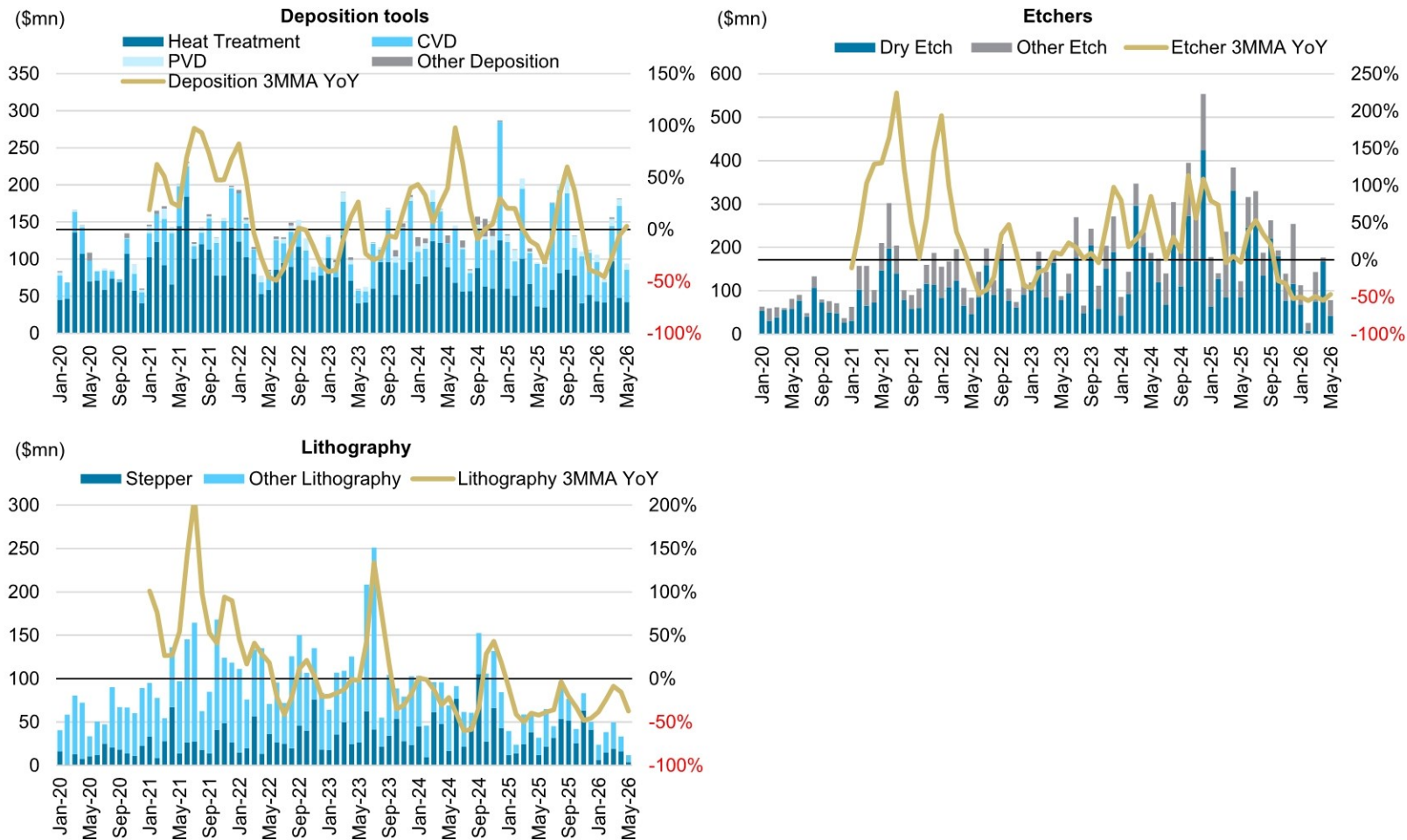
China monthly SPE imports from Japan: Apr -22% YoY, 3MMA



Note: Data excludes handling equipment and components

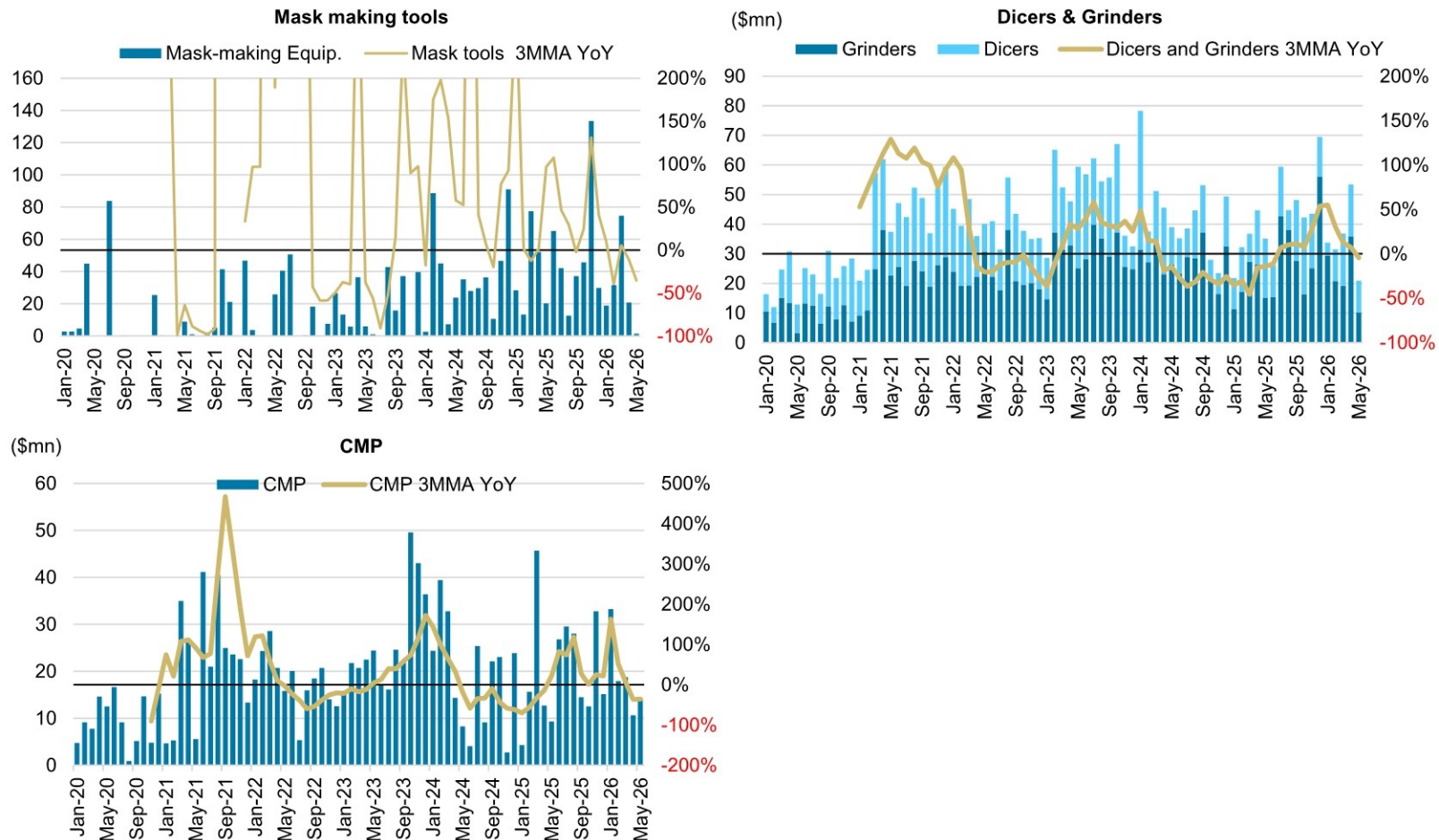
Source: General Administration of Customs of the People's Republic of China, Morgan Stanley Research

China monthly SPE import from Japan



Source: General Administration of Customs of the People's Republic of China, Morgan Stanley Research

China monthly SPE import from Japan



Source: General Administration of Customs of the People's Republic of China, Morgan Stanley Research

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Global Stock Ratings Distribution

(as of May 31, 2026)

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Coverage Universe			Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
Stock Rating Category	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1542	42%	465	51%	30%	707	43%
Equal-weight/Hold	1571	43%	369	40%	23%	723	44%
Not-Rated/Hold	3	0%	0	0%	0%	1	0%
Underweight/Sell	551	15%	86	9%	16%	201	12%
Total	3,667		920			1632	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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Overweight (O). The stock's total return is expected to exceed the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Equal-weight (E). The stock's total return is expected to be in line with the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

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Unless otherwise specified, the time frame for price targets included in Morgan Stanley Research is 12 to 18 months.

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Benchmarks for each region are as follows: North America - S&P 500; Latin America - relevant MSCI country index or MSCI Latin America Index; Europe - MSCI Europe; Japan - TOPIX; Asia - relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

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COMPANY (TICKER)	RATING (AS OF)	PRICE* (06/19/2026)
Suzune Tamura, CFA		
Advantest (6857.T)	O (01/17/2024)	¥31,740
DISCO (6146.T)	O (07/07/2023)	¥84,900
Ebara (6361.T)	O (12/04/2024)	¥6,560
JEOL (6951.T)	E (07/08/2025)	¥7,066
KOKUSAI ELECTRIC (6525.T)	O (12/19/2025)	¥10,165
Lasertec (6920.T)	U (07/28/2025)	¥55,100
Nikon (7731.T)	U (08/08/2023)	¥2,153
SCREEN Holdings (7735.T)	O (11/13/2025)	¥16,745
Tekscend Photomask (429A.T)	E (11/18/2025)	¥4,305

Tokyo Electron (8035.T)	O (12/19/2025)	¥75,360
Ulvac (6728.T)	E (01/17/2024)	¥10,255
Ushio (6925.T)	O (01/05/2026)	¥4,631

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